

The Components of the IT Audit Report

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While authoring this column and, indeed, participating in the Audit and Assurance community on ISACA's Engage Online forum,¹ my opinion is often sought on a wide range of audit-related topics from ISACA® members around the world. Recently, I was asked about the contents of an audit report, and this struck me as something that was worthy of further discussion. We (as IT auditors) spend many hours discussing and seeking audit programs (which are of no interest to the business) and little or no time discussing the audit report, which (we hope) will provide business value.

So, what are the components of an IT audit report? This, of course, depends on the type of audit. According to ISACA®, there are three types: an examination, a review and an agreed-upon procedure.² We will concentrate on examination, which is a systematic process by which a competent, independent person objectively obtains and evaluates evidence regarding assertions³ about an entity or event, processes, operations, or internal controls for the purpose of forming an opinion and providing a report on the degree to which the assertions conform to an identified set of standards.⁴ Fundamentally, this is our "standard" audit.

Audit Report Components

The mandatory components of an IT audit report are described in ISACA's Information Technology Assurance Framework (ITAF)⁵ under guideline 2401, reporting. In addition, an ISACA white paper, *IS Audit Reporting*, suggests further discretionary components (**figure 1**).⁶ The components are not necessarily in any order and many are self-explanatory (additional information may be found in the referenced documents, if required); however, the items in italics are worthy of further discussion. It is important to note that although ITAF requires these components, that does not necessarily mean that an audit report will have a separate section or heading for each. The components may be combined under different sections.

Scope of the Audit Engagement

The audit scope should define the audit subject. It should define the limits to the audit. This can be an organization, a division within the organization, a business process, an application system or supporting technology, such as a particular platform or network.⁷ The scope statement should also define the period under review and when the audit was performed. To a knowledgeable reader, audit scope should indicate the expected breadth of audit work and topic areas covered.⁸

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Figure 1—IT Audit Report Components

Report Component	Source
An appropriate and distinctive title	ITAF
Identification of the recipients to whom the report is directed	ITAF
Identification of the responsible party	ITAF
Table of contents	<i>IS Audit Reporting</i>
Introduction	<i>IS Audit Reporting</i>
<i>Description of the scope of the audit engagement</i>	ITAF
<i>A statement identifying the source of management's representation about the effectiveness of control procedures</i>	ITAF
A statement that professionals have conducted the audit engagement to express an opinion on the effectiveness of control procedures	ITAF
<i>Identification of the purpose (objectives) of the audit</i>	ITAF
<i>Description of the criteria or disclosure of the source of the criteria</i>	ITAF
A statement that the audit engagement has been conducted in accordance with ISACA IS audit and assurance standards or other applicable professional standards	ITAF
Further explanatory details about the variables that affect the assurance provided	ITAF
<i>Findings, conclusions and recommendations for corrective action including management's response</i>	ITAF
Auditor reply	<i>IS Audit Reporting</i>
A paragraph stating that because of the inherent limitations of any internal control, misstatements due to errors or fraud may occur and go undetected	ITAF
A summary of the (audit) work performed	ITAF
<i>An expression of opinion about whether, in all material respects, the design and/or operation of control procedures in relation to the area of activity were effective</i>	ITAF
<i>Executive summary</i>	<i>IS Audit Reporting</i>
Where appropriate, references to any other separate reports that should be considered	ITAF
Date of issuance of the audit engagement report. In most instances, the date of the report is based upon the issue date.	ITAF
Names of individuals or entity responsible for the report	ITAF
Appendix	<i>IS Audit Reporting</i>

Source of Management's Representation

Management may make representations about the effectiveness of the control procedures. These are usually in the form of assertions or any formal declaration or set of declarations about the subject matter made by management.⁹ Common assertions include confidentiality, integrity, availability and compliance. So, management may assert that the application under review is in compliance with, say the Payment Card Industry Data Security Standard (PCI DSS). This should be captured in the audit report.

Objectives of the Audit

The purpose of the audit is identified in the audit objectives. Why are we auditing it? The objectives identify the items to be evaluated or assessed by

the audit.¹⁰ Audit objectives are most commonly phrased as, "To determine whether..." or, for example, "To assess the adequacy of internal controls."¹¹ An objective may be "To determine whether the application under review is in compliance with PCI DSS."

Source of the Criteria

Criteria are the standards and benchmarks used to measure and present the subject matter and against which an IS auditor evaluates the subject matter.¹² Criteria are often defined by the entity that is under review (e.g., contracts, service level agreements [SLAs], policies, standards); however, there will be instances, for example, when an organization has not defined its own standards,

when other criteria should be applied. Criteria can be established by ISACA, other bodies of experts, and laws and regulations, or can have been developed specifically for the audit engagement.¹³ Following the PCI DSS example, ISACA's *ICQ and Audit/Assurance Program for PCI DSS Compliance Program*¹⁴ might be considered suitable criteria.

Findings, Conclusions and Recommendations

Audit findings are provided in the audit report when action is required to correct a deficiency in a process or its related controls.¹⁵ The five key elements, or attributes that should be addressed when presenting an audit finding, are described in **figure 2**.

It is also good practice to allocate a rating to indicate the significance of each finding, along with a unique reference number to easily identify the item. These can be used by management to prioritize its response and by audit to track the findings through to completion.¹⁶ The findings can also be presented in order of their significance. When capturing management's responses, always capture the manager responsible and an agreed implementation date. These will aid with the audit follow-up process.¹⁷

An Expression of Opinion

The purpose of this section is to provide an overall conclusion or opinion with respect to the engagement's audit objectives. An auditor's opinion is a formal statement expressed by the IT audit or assurance professional that describes the scope of the audit, the procedures used to produce the report, and whether or not the findings support that the audit criteria have been met. The types of opinions are:¹⁸

- **Unqualified opinion**—Notes no exceptions or none of the exceptions noted aggregate to a significant deficiency. Essentially a clean bill of health with respect to the audit objectives.
- **Qualified opinion**—Notes exceptions aggregated to a significant deficiency (but not a material weakness). In this instance, the report should include an explanatory paragraph stating the reasons why a qualified opinion is expressed in the report.
- **Adverse opinion**—Notes one or more significant deficiencies aggregating to a material weakness. From an internal control perspective, an adverse opinion is expressed when adequate controls are not in place or in effect to provide reasonable assurance that control objectives are met, or that there is a reasonable likelihood that the control

Figure 2—Five Attributes of an Audit Finding

Attribute	Description	Identifies
Condition	Findings	The auditor findings. It is a statement of the problem or deficiency. This may be in terms such as control weaknesses, operational problems, or noncompliance with management or legal requirements.
Criteria	Requirements and baseline	Statement of requirements and identification of the baseline that was used for comparison against the auditor findings, based on the audit evidence.
Cause	Reason for the condition	While the explanation of the cause may require the identification of the responsible party, it is suggested that, unless required by audit policy, the report should identify the organizational business unit or person's title and not the individual's name. The same should be applied to the identification of the person representing the relevant point of accountability.
Effect	Impact of the condition	The answer to the question "so what?" It explains the adverse impact to the operational or control objective. By articulating impact and risk, the element of effect is very important in helping to persuade auditee management to take corrective action.
Recommendation	Suggested corrective action	While the corrective action should eliminate the problem or deficiency noted in the condition, the corrective action should be directed toward addressing the cause.

Source: ISACA®, *IS Audit Reporting*, USA, 2015

objectives are not met. Again, include an explanatory paragraph stating the reasons why the opinion was reached.

A disclaimer of opinion is issued when the auditor is unable to obtain sufficient appropriate audit evidence on which to base an opinion or if it is impossible to form an opinion due to the potential interactions of multiple uncertainties and their possible cumulative impact.

Executive Summary

An executive summary is a concise document demonstrating the problem, findings and recommendation of a longer report.¹⁹ It typically includes a high-level description of the primary message of the report, key audit objectives and a brief summary of audit results.²⁰ It is not mandated by ITAF, but is highly recommended as, often, it is the only section of the report that will be read by senior executives.

“THE CONTENTS OF THE AUDIT REPORT ARE RARELY DISCUSSED, EVEN THOUGH THEY WILL BE USED TO DRIVE THE AUDIT FOLLOW-UP PROCESS AND OFTEN RESULT IN EXPENDITURE TO THE ENTERPRISE.”

Conclusion

IT audit professionals spend many hours searching for and discussing IT audit programs, and rightly so, since this can affect the quality of the work performed and, ultimately, the assurance provided to the enterprise. However, the contents of the audit report are rarely discussed, even though they will be used to drive the audit follow-up process and often result in expenditure to the enterprise. ISACA has produced standards, guidelines, a white paper and a report template, which should be referenced to ensure that each enterprise's audit reports meet high professional standards. Adhering to these

standards will also prove invaluable to the IT auditor when, as is often the case, the results of the audit report are challenged.

Endnotes

- 1 ISACA® Online Forum, Audit and Assurance, <https://engage.isaca.org/communities/community-home/digestviewer?communitykey=b4f0c214-8b78-4359-8bd0-8f0e7382b68a&tab=digestviewer>
- 2 ISACA®, Information Technology Assurance Framework (ITAF), USA, 2014, www.isaca.org/Knowledge-Center/ITAF-IS-Assurance-Audit-/IS-Audit-and-Assurance/Pages/ObjectivesScopeandAuthorityofITAudit.aspx
- 3 An assertion is any formal declaration or set of declarations about the subject matter made by management. *Ibid.*, p. 19
- 4 ISACA, *IS Audit Reporting*, USA, 2015 www.isaca.org/Knowledge-Center/Research/Documents/IS-Auditing-Tools-and-Tech_res_Eng_0215.pdf
- 5 *Op cit* ITAF
- 6 *Op cit* *IS Audit Reporting*
- 7 *Ibid.*, p. 22
- 8 *Ibid.*
- 9 *Op cit* ITAF, p. 73
- 10 *Op cit* *IS Audit Reporting*, p. 22
- 11 *Ibid.*
- 12 *Op cit* ITAF, p. 21
- 13 *Ibid.*, p. 79
- 14 ISACA, *ICQ and Audit/Assurance Program for PCI DSS Compliance Program*, USA, www.isaca.org/Knowledge-Center/Research/ResearchDeliverables/Pages/icq-and-audit-assurance-program-for-pci-dss-compliance-program.aspx
- 15 *Op cit* *IS Audit Reporting*, p. 26
- 16 Cooke, I.; "Enhancing the Audit Follow-Up Process Using COBIT 5," *ISACA® Journal* vol. 6, 2016, <https://www.isaca.org/archives>
- 17 *Ibid.*
- 18 *Op cit* ITAF, p. 16
- 19 Harvard Kennedy School Communications Program, "How to Write an Executive Summary," Harvard University, Cambridge, Massachusetts, USA, https://projects.iq.harvard.edu/files/hks-communications-program/files/how_to_write_an_exex_summ_to_use_4_18_18.pdf
- 20 *Op cit* *IS Audit Reporting*, p. 21

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